

Brazil macro: carry, the election and one conditional trade

Research brief · thesis dated 5 October 2026 · Brazil · interest rates · the real · commodities

MY CURRENT VIEW · NO POSITION

Flávio Bolsonaro's first-round lead is a surprise, not a verdict. In two of the last three elections the real gave back most of its post-vote rally before the runoff, so I stay out until 25 October and act only if prices confirm.

1. The first round surprised. Flávio Bolsonaro took 47.1% of valid votes to Lula's 45.0%. The final Datafolha and Quaest polls had Lula ahead by 3 and 1 points: they missed the margin by 5.1 pp and 3.1 pp, in the same direction.

2. The runoff is not a formality. 7.8% of voters chose other candidates. To reach 50%, Flávio needs 37% of them and Lula 63%. No candidate in that group is on the left, so I read this as favouring Flávio, but it is not a forecast.

3. The market has been here before. USD/BRL fell between 2.9% and 3.8% on the first Monday after the 2014, 2018 and 2022 first rounds. By the runoff it had given back 85% (2014) and 70% (2022) of the move; in 2018 it kept falling. Long-real positioning was already above past elections (JPMorgan).

What would make me act

After the runoff, from 26 October: two daily PTAX closes below 5.10 with the U.S. two-year yield at or below 5.00%. I would read that as the market paying for a credible fiscal path, and paper-buy the real. Earlier closes, including any first-Monday rally, do not count.

What would change my mind

A PTAX close above 5.30 before any entry, Brazil's two-year rate above 14%, or the U.S. two-year yield above 5.10%. Each would mean risk is rising, not falling.

Key figures at the thesis date · 5 October 2026

Selic target
13.75%

16 Sep 2026 · BCB

Fed target range
3.75–4.00%

16 Sep 2026 · Fed

Brazil–U.S. rate gap
9.88 pp

1 Oct 2026 · BCB / Fed

USD/BRL (PTAX)
5.2235

2 Oct 2026 · BCB

U.S. 2-year yield
4.83%

2 Oct 2026 · U.S. Treasury

Brent crude (spot)
\$113.96

29 Sep 2026 · EIA / FRED

What happened to my 24 September thesis

On 24 September I said the 4 October election would decide the next move, and planned to buy the real after two PTAX closes below 5.10 once the first round was over. No position was opened: no performance to report, only reasoning to check.

WHAT I EXPECTED

Act only after the first round, below 5.10; drop the idea above 5.30.

WHAT HAPPENED

Since 24 September PTAX closed between 5.1806 (30 September) and 5.2235 (2 October). Neither level was reached; no entry was possible before the vote.

VERDICT

Not triggered

WHAT I EXPECTED	WHAT HAPPENED	VERDICT
Too close to call: Datafolha had Lula at 39% and Flávio Bolsonaro at 36% in the first round (± 2 pts).	A runoff was needed, but Flávio finished first: the last Datafolha and Quaest polls missed the margin by 5.1 pp and 3.1 pp.	Partly
The large rate cushion keeps the real supported.	The gap stayed at 9.88 pp, yet USD/BRL rose to 5.2235 (+0.9%), its highest close in four months. The real held its range without strengthening.	Partly
Brazil's two-year rate sits well above the economists' own path: a risk premium.	The two-year rate went from 13.76% to 13.71% between 23 September and 2 October; its gap over the economists' path stayed near 1.5 pp. The premium did not compress before the vote; the runoff will test it.	Unresolved
The U.S. two-year yield stays at or below 5.00%.	4.87% $\rightarrow$ 4.83%; highest close 4.92% (28 September). The condition held.	Confirmed

What I changed. I treated the polls as roughly right and the first round as decisive. Neither held: the polls leaned the wrong way by several points, and the first round only narrowed the question to a runoff. The new thesis moves the decision to the runoff.

The paper trade: wait for the runoff, then buy the real only if the market confirms

Inactive, no position · earliest entry 26 October

Expression	Long the Brazilian real against the U.S. dollar (short USD/BRL), tracked with the official PTAX rate. Paper only: no money, no execution.
Thesis	If the election lowers the fiscal risk premium, the real should strengthen and stay stronger, because investors keep collecting a large interest-rate cushion while they wait.
Why it may not be priced	The two-year rate sits 1.5 pp above the economists' own path, and economists expect USD/BRL at 5.20 at year-end, so a durably stronger real is not the consensus. JPMorgan, though, sees the real near fair value with long positioning above past elections: some good news may already be priced.
Catalysts	Runoff 25 October; Fed 28 October; Copom 4 November.
Entry	From 26 October, the first PTAX after the runoff: two consecutive daily closes below 5.10, with the U.S. two-year yield at or below 5.00%. Earlier closes, including any rally on 5 October, do not count.
Drop the idea (before entry)	Any PTAX close above 5.30, higher than every close of the past four months (peak 5.2235 on 2 October). The idea is dropped, not reversed.
Exit (after entry)	Two consecutive closes above 5.22 (the top of the last 20 closes), or the U.S. two-year yield above 5.10%.
Review	Around 4.94–5.00 (range low minus range width), or on 4 November at the latest. A review zone, not a target.

Main risks. (1) The winner's fiscal plan is read as negative, whoever wins. (2) I buy after the move: some good news may already be priced, and long-real positioning was already high. (3) U.S. yields keep rising and pull money out of emerging markets, or oil falls sharply as Hormuz reopens, leaving less export income and room for faster Copom cuts.

Evidence that would change my view. Beyond the triggers above: a Copom signal of faster cuts, a winner with no credible fiscal plan, or a sharp deterioration in official fiscal numbers.

What could happen before and after 25 October

Three paths I can recognise in the data, plus one outside shock. I don't attach probabilities: the point is to decide in advance what each would mean and what I would do.

A. Premium compresses after the runoff

Signals: After 25 October, PTAX closes below 5.10 twice; the two-year rate falls a quarter point or more from 13.71%; the winner shows a credible fiscal path.
What it would mean: Investors see less fiscal risk, and the carry cushion keeps attracting money.
What I would do: **Paper-buy the real if the U.S. two-year yield is at or below 5.00%.**

B. The first-round rally fades

Signals: PTAX gives back most of its post-vote move before 25 October and is back above 5.22; polls tighten.
What it would mean: The market doubts the first-round signal, as in 2014 and 2022.
What I would do: **No position. Wait for 25 October.**

C. Risk premium rises

Signals: PTAX closes above 5.30; the two-year rate moves above 14%; implied inflation rises.
What it would mean: Fiscal worries dominate; a weaker real plus expensive oil could make the Copom pause its cuts.
What I would do: **Drop the long-real idea. A dollar trade would need new rules.**

D. Outside shock: U.S. rates or oil

Signals: The U.S. two-year yield rises above 5.10%, or Brent falls sharply as Hormuz reopens.
What it would mean: Emerging-market currencies tend to weaken together; cheaper oil removes a support.
What I would do: **No long-real position; exit if already in one.**

Dates that matter. 25 Oct: Presidential runoff · 28 Oct: Fed decision · 4 Nov: Copom decision · 9 Dec: Fed and Copom decisions

My interpretation

- Runoff arithmetic: holding turnout and blank votes constant, Flávio needs 37% of the 7.8% who voted for others, and Lula 63%. No candidate in that group is on the left, so I read this as favouring Flávio, without attaching a probability.
- Past first rounds: after 2014, 2018 and 2022, USD/BRL fell between 2.9% and 3.8% on the first business day. By the Friday before the runoff it had given back 85% (2014) and 70% (2022) of that move; in 2018 it extended it by a further 75% of that move. Three elections are a base rate, not a test, but they argue against paying for the first Monday.
- Levels against volatility: a 15-session move has a standard deviation of 2.2% (9% a year). Entry sits 1.1 σ below Friday's close and the drop level 0.7 σ above it, while a typical first-round Monday moved 1.5 σ : these are triggers, not stop-losses.

Brazil's export prices: which ones matter now?

Brazil earns dollars by exporting oil, iron ore, soybeans and sugar. Each series keeps its own date and frequency; they are not combined into one index.

COMMODITY	LATEST	CHANGE	MATTERS FOR THE NEXT SIX WEEKS?
Oil (Brent spot)	113.96 USD/bbl 29 Sep 2026	–5.0% vs 28 Sep 2026	Yes, both ways. Supports export income and keeps the Copom cautious; a sudden reopening of Hormuz would remove both effects. Spot is still above \$100 but below its \$130.80 peak of mid-September.
Iron ore	101.60 USD/t Jul 2026	–2.1% vs Jun 2026	Not now. The monthly IMF price slipped in July. Without a clear change in Chinese steel demand it is unlikely to move the real within six weeks, though it matters directly for Vale.
Soybeans	442.45 USD/t Jul 2026	+6.7% vs Jun 2026	Limited. Prices rose in July, but Brazil's export season peaks between March and July, so fewer soy dollars arrive in the fourth quarter.

COMMODITY	LATEST	CHANGE	MATTERS FOR THE NEXT SIX WEEKS?
Sugar	14.81 US¢/lb Jul 2026	+6.5% vs Jun 2026	Limited. Mills can switch cane between sugar and ethanol; expensive oil makes ethanol more attractive, which can tighten sugar supply. More a company story than a currency one.

Method, data and limits

Decision levels. Taken from the last 20 PTAX closes when the thesis was written (5.0853–5.2235), rounded to two decimals. The review zone is the range low minus the range width.

Market vs. economists. Economists' path: a straight line from today's Selic through the Focus year-end medians, minus 0.10 pp (the usual gap between the overnight CDI rate and the Selic), compounded and annualised over one and two years, then compared with ANBIMA's fixed-rate zero-coupon yields: one year 13.00% vs 13.38%, two years 12.25% vs 13.71%.

Limits. PTAX is a reference rate, not a tradable price; costs, spreads and position size are not modelled. Brazil's curve (ANBIMA) is collected by hand at the thesis date; it does not refresh. Market prices are from 2 October, before the result, and the count was 99.5% complete, so shares may still move. Focus is a survey, not a commitment; the market-vs-economists gap mixes expectations and risk premium. Bank scenarios and option-implied figures come from press reports of JPMorgan's research, not its note. No probabilities are assigned. The rules are not back-tested, and the first-round study covers only three elections. AI tools helped write code, draft research text and translate. The rules and the final judgement are mine, and every figure links to its source.

Sources

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BCB · Focus market expectations (open-data API) · 25 Sep 2026	BCB · Minutes of the 281st Copom meeting (decision of 16 Sep, published 22 Sep) · 22 Sep 2026
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TSE · First-round results, president · 4 Oct 2026	U.S. Treasury · Daily par yield curve rates · 2 Oct 2026

The full evidence list, data status and calculations are on the website: brasilmacro.streamlit.app/?lang=en · github.com/Midiansi/brazil-rates-fx-scenario-monitor

Educational research, not investment advice. No real positions and no claimed performance. Thesis dated 5 October 2026; each figure shows its own date.